

8.1

Long Term Borrowings

To understand long term borrowings of the company. We will ask a series of questions.

The questions that need to be asked are-

Interest Coverage Ratio

This shows how well is the company's long-term interest covered.

$$\text{Interest Coverage Ratio} = \frac{\text{EBIT}}{\text{Interest Cost}}$$



EXAMPLE

A company with 200 Cr debt at 10 percent needs to pay 20 Cr as interest cost. How well the company covers costs or how low the risk is for lender depends on the interest coverage ratio at EBIT level.



Let us consider three different situations here-

1. Interest is 20 Crores, and the company earns 200 Cr as EBIT
2. Interest is 20 Crores, and the company earns 30 Cr as EBIT
3. Interest is 20 Crores, and the company earns 10 Cr as EBIT

Situation 1

The lender can be very sure that the money will be repaid even if things go a little south, as the company has a lot of earnings at the EBIT level to cover that interest cost.

Situation 2

The company only has 30 Cr to cover the cost of 20 Cr. Thus, the company is able to repay the interest in normal situations. However, the company might struggle paying the interest cost if something goes south. If paying interest becomes difficult, paying the loan off would naturally be difficult.